

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC and FCA Italy S.p.A.,

v.

WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC., NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC., MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC., KAWASAKI KISEN KAISHA, LTD., “K” LINE AMERICA, INC., COMPAÑÍA SUD AMERICANA DE VAPORES, AND HOËGH AUTOLINERS AS,

COMPLAINANTS’ REPLY TO PARTIAL OPPOSITION OF RESPONDENTS WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN LOGISTICS AMERICAS LLC, AND EUKOR CAR CARRIERS INC. TO COMPLAINANTS FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY S.P.A., AND RESPONDENTS KAWASKI KISEN KAISHA, LTD AND “K” LINE AMERICA, INC.’S JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT, DISMISSAL WITH PREJUDICE OF THE COMPLAINT, AND TREATMENT OF THE SETTLEMENT AGREEMENT AS CONFIDENTIAL

The Presiding Judge should approve the joint motion of Complainants Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.P.A (collectively referred to herein as “FCA”) and Respondents Kawasaki Kisen Kaisha, Ltd. and “K” Line America, Inc. (referred to herein as “K” Line”) (together, “FCA/“K” Line”) to approve their settlement and to designate the settlement confidential. Respondents Wallenius Wilhelmsen Logistics Americas LLC and Eukor Car Carriers Inc.’s (together, “Respondents”) fail to establish that the FCA/“K” Line settlement should not be completely confidential.

I. FCA/“K” Line complied with Commission rules and precedent in seeking confidentiality

Respondents’ complaints regarding the *Global Link* case are unavailing because FCA/“K” Line identified *Global Link* as Commission precedent for the narrow proposition that settling parties who are seeking a confidential designation over an entire agreement need not also file a public version of the agreement as required by §502.5(a)(2)(ii). *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, No. 13-07, 2015 WL 1928868, at *6 (FMC Apr. 14, 2015). Relying on *Global Link*, FCA/“K” Line submitted a confidential version of the agreement per §502.5(a)(2)(i) and filed the joint motion in compliance with §502.5(b) but did not also file a public version of the agreement. FCA/“K” Line’s motion addressed the confidential nature of the settlement agreement and its terms per §502.5(b). Respondents assert but do not provide authority that FCA/“K” Line’s motion seeking confidentiality is in any way deficient. Resp’ts Motion ¶ 16-17.

II. Federal court authority does not support Respondents’ claim

Respondents cite a litany of federal court cases in support of their over-generalized contention that federal courts “consistently order the production” to non-settling defendants of confidential settlement agreements between plaintiffs and settling defendants when the plaintiff has alleged joint and several liability. Resp’ts Motion ¶ 18.

All of Respondents’ cited cases, however, involve motions to compel production of confidential settlement agreements where the non-settling defendants articulate multiple reasons, not just to determine potential set-off credit, in support of disclosure. *See Barclay v. Gressit*, No. 2:12-CV-156-JHR, 2013 WL 3819937, at *3 (D. Me. July 24, 2013) (production of settlement agreement to non-settling defendant compelled where

non-settling defendant asserted concerns of double recovery from more than one insurer and whether the release was a “Pierringer” release); *Gaedeke Holdings VII, Ltd. v. Mills*, No. CIV-11-649-M, 2015 WL 3440222, at *2 (W.D. Okla., May 27, 2015) (settlement agreements relevant and discoverable “because they may establish the bias or prejudice of witnesses”); *Heartland Surgical Specialty Hosp., LLC v. Midwest Div., Inc.*, No. 05-2164-MLB-DWB, 2007 WL 1246216, at *4 (D. Kan., April 27, 2007) (same); *White v. Kenneth Warren & Son, Ltd.*, 203 F.R.D. 364, 367-368 (N.D. Ill. 2001) (same); *Griffin v. Mashariki*, No. 96 CIV. 6400 (DC), 1997 WL 756914, at *2 (S.D.N.Y., December 8, 1997) (production to non-settling co-defendants of substantive settlement statement by settling co-defendant about the subject matter of the litigation—that included allegedly defamatory statements made by the defendants—was relevant and may be impeachment material); *Levick v. Maimonides Med. Ctr.*, No. 08 CV 03814 NG, 2011 WL 1673782, at *4 (E.D.N.Y., May 3, 2011) (production of settlement agreement may be proper if the agreement contains information tending to show that the plaintiff’s alleged injuries may be attributed to conduct of defendant in prior lawsuit).

Unlike the six cases Respondents cite, Respondents have not raised any additional reasons compelling disclosure beyond the potential set-off of damages. The right to discovery of a settlement agreement is not absolute, and discovery is not appropriate where the minimal showing of relevance is not made. *Levick v. Maimonides Med. Ctr.*, No. 08 CV 03814 NG, 2011 WL 1673782, at *3 (E.D.N.Y., May 3, 2011) (internal citations omitted). Of the six cases cited by Respondents, only two of them involved the court’s substantive review of the confidential settlement agreements at issue to determine

whether they were relevant and production was appropriate.¹ None of Respondents' cited cases, however, involve a court compelling production of a confidential settlement agreement in response to a non-settling defendant's singular assertion that it is "entitled to know the amount of any set-off to which they may be entitled in the event of an adverse judgment, and are entitled to confirm that the FCA/"K" Line settlement agreement provides for such set-off." Resp'ts Motion ¶ 13.

There is a strong public policy of favoring settlements and, by enacting Federal Rule of Evidence 408, Congress furthered that policy "by insulating the bargaining table from unnecessary intrusions." *Bottaro v. Hatton Assocs.*, 96 F.R.D. 158, 160 (E.D.N.Y., 1982). Federal courts have consistently denied production of confidential settlement agreements when the only argument in support of disclosure is the agreement's relevance to damages. *See, e.g., Bottaro*, 96 F.R.D. 158 at 160² (discovery into terms of confidential settlement agreement 'based solely on the hope that it will somehow lead to admissible evidence on the question of damages' denied); *In re Flat Glass Antitrust Litig.*, No. 11-658, 2013 WL 1703864, at *1 (W.D. Pa., April 19, 2013) (same); *Doe v. Methacton Sch. Dist.*, 164 F.R.D. 175, 176–77 (E.D. Pa. 1995) (broad assertion that confidential settlement agreement relevant to issue of damages not sufficient to compel production). If a party establishes that disclosure of requested information could 'thwart

¹ *Gaedeke, Barclay, Griffin*, and *Heartland* did not involve any sort of *in camera* review of the confidential settlement agreements and therefore have even less application to this case.

² There is a split in published federal authority on requiring a heightened showing of relevance or need to justify disclosure of confidential settlement agreements, but cases rejecting the "heightened showing" standard still find that the requesting party made such a showing before ordering discovery. *Doe v. Methacton Sch. Dist.*, 164 F.R.D. 175, 176 (E.D. Pa., 1995) citing *Bennett v. La Pere*, 112 F.R.D. 136 (D.R.I. 1986).

desirable social policies,’ the requesting party ‘will be required to demonstrate that its need for the information, and the harm that it would suffer from the denial of such information, outweigh the injury that disclosure would cause either the other party or the interests cited by it.’ *In re Automotive Parts Antitrust Litigation*, No. 12-MD-02311-MOB-MKM (E.D. Mich. June 19, 2017) quoting *Apex Oil Co. v. DiMauro*, 110 F.R.D. 490, 496 (S.D.N.Y. 1985) (declining to compel production of settlement agreements). Here, Respondents have failed to establish that their “need for disclosure” of the FCA/“K” Line confidential settlement agreement outweighs the “unnecessary intrusion” disclosure at this point in the case would cause.

III. Commission precedent supports disclosure of confidential settlements to non-settling defendants after a finding of joint and several liability and reparations award

Respondents claim that they are “entitled to know the amount of any set-off to which they may be entitled in the event of an adverse judgment, and are entitled to confirm that the [FCA/“K” Line] settlement agreement provides for such set-off.” Resp’ts Motion ¶ 13. The only Commission case Respondents cite as support for their position, *Kobel v. Hapag-Lloyd, A.G.*, Docket 10-06, supports the position that Respondents’ request is improper and/or premature.

In *Kobel*, the Presiding Judge found, and the Commission affirmed, that two co-defendants were jointly and severally liable for reparations in an amount certain. See *Kobel v. Hapag-Lloyd, A.G.*, August 31, 2017 Order attached here as **Exhibit A** at p. 2. Following entry of the reparations order, the complainant and one of the co-defendants jointly requested that the Commission approve a confidential settlement agreement. **Exhibit A** at p. 1. The *Kobel* settlement agreement, attached here as **Exhibit B**, expressly

identifies the joint and several reparations award against the co-defendants, and, consistent with Commission precedent, provides for payments made by the settling defendant to be a credit as to the joint and several reparations award against the co-defendants. **Exhibit B** pp. 1, 3 ¶ 11.

If the Commission finds in this case that Respondents are jointly and severally liable for reparations, the non-settling respondents, including WWL Respondents, may be entitled to some credit for settlement amounts paid. *See McDermott, Inc. v. Amclyde*, 511 U.S. 202, 220-221 (1994) (“proportionate share approach” appropriate for calculating set-off credit for settlement agreement with one co-defendant following jury verdict for damages and proportionate allocation of responsibility by jury to all co-defendants). Even following an award, however, if the Presiding Judge decides to allocate responsibility among the respondents, the terms of the FCA/“K” Line settlement would still be irrelevant. *McDermott*, 511 U.S. at 220 (“a plaintiff’s good fortune in striking a favorable bargain with one defendant gives other defendants no claim to pay less than their proportionate share of the total loss.”). There is no “rigid rule” in the law against overcompensation. *Id.* at 219. In this case, there has been no finding by the Presiding Judge or Commission of joint and several liability for reparations in Complainants’ favor. The non-settling respondents, including WWL Respondents, continue to dispute their liability and that any such liability is joint and several. Resp’ts Motion p. 5 n.1.

The relief Respondents seek in their motion³ may be appropriate after the Commission’s finding of joint and several liability and a reparations award in

³ For their partial opposition to FCA/“K” Line’s joint motion, WWL/EUKOR Respondents incorporate by reference their April 10, 2019 Amended Motion and

Complainants' favor. *See, e.g., Polston v. Eli Lilly and Co.*, No. 08–3639, 2010 WL 2926159, at *2 (D.S.C. July 23, 2010) (no reason to order disclosure of the amount of a settlement credit until a verdict finding liability); *Burlington v. News Corp.*, No. CIV.A. 09-1908, 2015 WL 2070063, at *5 (E.D. Pa., May 4, 2015) (amount of confidential settlement “is relevant only to the question of the offset of damages” and “is not presently an issue and will not be an issue prior to the jury rendering its verdict”); *Zlotogura v. Progressive Direct Ins. Co.*, No. 12–516, 2013 WL 1855879, at *2 (W.D. Okla. May 1, 2013) (“an adjustment or an apportionment of any damages awarded to plaintiff based on” settlement proceeds received by plaintiff “does not arise until after final judgment has been rendered”).

Respondents' motion should be denied at this point in the case, but Respondents would not be precluded from renewing their motion following entry of an award in Complainants' favor. Even following a reparations award, however, the FCA/“K” Line settlement “would not be relevant to any issue in [the] case other than the ministerial apportionment of damages, a mathematical computation that the Court rather than the jury will perform.” *Bottaro*, 96 F.R.D. 158 at 160 (denying disclosure of settlement agreement prior to entry of verdict because the “amount of settlement is not relevant to any issue in this case at this time.”). And even at that point in the case, if responsibility for the reparations award has been allocated amongst the respondents, the settlement amounts with settling respondents would be irrelevant under the “proportionate share rule.” *McDermott*, 511 U.S. at 221.

CONCLUSION

Respondents have not made any showing that the FCA/“K” Line settlement is relevant and therefore discoverable at this point in the case. The relief Respondents seek is clearly premature, and Respondents have not established that their need to determine potential damages calculations outweighs the harm that would result from disclosure of the FCA/“K” Line confidential settlement agreement. Respondents’ reliance on a single assertion that the FCA/“K” Line settlement is relevant to the issue of a potential set-off is insufficient to compel disclosure of the agreement at this point in time. Even following entry of a joint and several reparations award, the FCA/“K” Line settlement may still be irrelevant if the proportionate share rule is applied. Designating the FCA/“K” Line settlement agreement as confidential is consistent with the precedent of this Commission and federal courts. Just as the Presiding Judge granted the joint motion of Complainants and Mitsui O.S.K. Lines LTD. and MOL (America) Inc., the Presiding Judge should do the same here.

Respectfully submitted,

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DATED: April 30, 2019

CERTIFICATE OF SERVICE

I hereby certify that, on April 30, 2019, true and correct copies of the foregoing brief in opposition to respondents' supplemental consolidated motion to dismiss was filed with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all counsel for respondents identified in the respondents' supplemental consolidated motion to dismiss.

DATED: April 30, 2019

/s/ Jessica A. Sprovtsoff
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